Increasing Compliance with Ongoing Financial Reporting Mandates: Field Experimental Evidence

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Abstract:

Using the Regulation Crowdfunding market, where enforcement is essentially absent, we examine whether alternative incentives can sustain compliance with an ongoing financial reporting mandate. Only 28 percent of issuers file their annual report on time and fewer than half ever file their first-year report, despite stating the deadline themselves in their offering statement. Using rich offering-level data, we find compliance is associated with external monitoring, potential economic benefits, and low disclosure costs, though these factors predict compliance poorly. Comparing incentives in a field experiment, we find that reminders emphasizing regulatory risk raise timely compliance by about 20 percent, while those emphasizing economic benefits or lower preparatory costs have no detectable effect, on average. Our results suggest that a low-cost reminder invoking regulatory risk can raise compliance even without enforcement, informing the design of a more cost-effective reporting regime.

Keywords: financial reporting, compliance, enforcement, field experiment, equity crowdfunding (ECF), Form C-AR, Regulation Crowdfunding (Reg CF), Securities and Exchange Commission (SEC), JOBS Act Title III, KingsCrowd

JEL classification: G18, G24, G32, K22, M13, M41

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I. INTRODUCTION

Can anything short of enforcement keep firms compliant with financial reporting mandates? While enforcement works, a credible threat is costly to maintain [Polinsky and Shavell 2000], and the SEC is using it less [Fischman *et al.* 2026]. Whether cheaper levers can do the same work is central to (re)designing an effective, and potentially more efficient, regulatory regime.

In US securities markets, this question is hard to answer: the threat of enforcement is strong enough that nearly every firm complies, leaving no variation from which to learn what else matters. The US Regulation Crowdfunding (Reg CF) market offers that variation. Its financial reporting mandate is clear, but enforcement and compliance are low. By observing reporting behavior in this setting and conducting a field experiment varying the salience of regulatory risk and other determinants of compliance, we explore whether the incentives that sustain disclosure in voluntary settings can substitute for enforcement in a mandatory one.

This setting suits our question for three reasons. First, the reporting mandate is simple and easy to verify: managers must file a simplified annual report, which demands minimal disclosure and has no attestation requirement. This yields a binary measure of compliance (whether a report was filed) that is transparent to market participants and free from the measurement error often encountered when assessing report contents [e.g., Bischof *et al.* 2022] and that captures the most basic degree of information availability: existence. Second, enforcement is minimal. Despite evidence of non-compliance [Bullard 2020, Marks 2024, Schwartz 2025], we are aware of no related SEC enforcement actions to date, leaving the imperfect compliance needed to investigate other motivations. Third, Reg CF issuers are close empirical counterparts to the firm in canonical disclosure models, in which a manager with private information chooses whether to disclose to outside investors [e.g., Dye 1985, Verrecchia 1983]. Because larger registrants differ in scale and

ownership structure and because enforcement makes compliance near-universal among them, settings like ours offer a rare view of these incentives at work in a US securities market.

We begin our investigation by documenting the low rate of ongoing financial reporting compliance in the Reg CF market using a sample of all issuers with an annual reporting mandate from 2016 to 2024.[1] We find that only 28 percent of issuers file their annual report, Form C-AR, by their first reporting deadline and only 47 percent ever file their first-year financials, even after the deadline. These low rates are difficult to attribute to a lack of manager awareness or investor demand. Every issuer signs and files an offering statement stating its first annual reporting deadline before ever raising capital, managers time their disclosures in ways consistent with awareness of the obligation, and investor traffic to Form C-AR spikes at the reporting deadline and when new offerings are launched, times when investors are likely most informationally sensitive.

Following a standard cost–benefit view of compliance, we consider four factors that may determine whether managers file a required annual report: regulatory risk (via enforcement or private litigation), economic benefit, monitoring, and disclosure costs. Regulatory risk and economic benefits determine the consequences of compliance, monitoring affects the perceived likelihood and salience of those consequences, and disclosure costs represent the direct cost of filing. First, regulatory risk: failing to file violates US securities law, and enforcement is central to reporting outcomes [see Leuz and Wysocki 2016]. Second, economic benefits may follow compliance if reporting eases future capital raising [Botosan 2006], as is often the case in contexts where disclosure is voluntary [Verrecchia 2001]. Third, monitors including platforms [Cumming *et al.* 2019], auditors [Bogdani *et al.* 2022], and analysts [Burke and Fisher 2026] may encourage

[1] Firms that issue securities are referred to as issuers, which are the entities responsible for complying with the financial reporting rules studied in this paper. By studying the behaviors of issuers, we can learn about the incentives of the managers who are ultimately responsible for the reporting behavior of the firm.

reporting if their oversight continues after the offering. Fourth, disclosure costs vary with an issuer's resources and experience. Our setting is unique among US securities markets in that it exhibits variation along all these dimensions that is not otherwise dominated by regulatory risk, allowing us to evaluate each factor's influence on financial reporting compliance.

We use rich firm, offering, and manager data to assess which characteristics predict compliance. External monitoring, potential economic benefits, and low disclosure costs correlate with filing Form C-AR, but the explanatory power of our determinant model is low. Compliance with financial reporting mandates is difficult to predict using archival data alone.

We therefore exploit a field experiment conducted by KingsCrowd (KC), the leading US Reg CF analyst firm, which randomized the content of email reminders sent around the April 2024 reporting deadline. These cross-randomized reminders emphasized the potential economic benefits of compliance, the potential regulatory risk of non-compliance, both, or neither. We find that email reminders emphasizing regulatory risk raise the likelihood of timely compliance by approximately 20 percent, while those emphasizing economic benefits have no detectable effect. Consistent with the literature on the importance of enforcement [Holthausen 2009, Leuz and Wysocki 2016], these results indicate that compliance responds at the margin to the salience of regulatory risk, rather than to the economic benefits commonly emphasized in voluntary disclosure settings. The experiment also cross-randomized one component of disclosure costs, preparatory costs, via discount codes. We find that when regulatory risk is not emphasized, lower preparatory costs may increase compliance, suggesting an important but second-order effect.

We contribute to three literatures. First, we add to the literature on the determinants of compliance with financial reporting requirements. While existing research primarily examines the qualities (e.g., length, detail, defects) of specific information within a larger mandated disclosure

[Bischof *et al.* 2022, Robinson *et al.* 2011], such as Exhibit 21 within a Form 10-K [Dyreng *et al.* 2020], we consider the much starker decision of whether to file a mandated ongoing financial report *at all*.[2] This limits measurement error and avoids concerns about manager obfuscation. The closest existing evidence comes from small private firms outside the US, where filing mandates are common and enforcement is weak. Bernard [2016] uses a German enforcement reform to identify predation risk as a motive for avoiding a public filing requirement, and Gassen and Muhn [2025] experimentally inform German private firms of a legal option to restrict access to statements. We instead study a US securities mandate, hold enforcement fixed at a low level, and ask what induces managers to file at all, with an eye toward options less costly than the standard response of enforcement.

Within this literature, we provide a methodological advance. Because reporting mandates are usually rolled out universally, other studies often rely on cross-sectional (e.g., accelerated filers) or time-series variation in exposure to a reporting mandate [e.g., Kraft *et al.* 2018, Li 2010]. By contrast, KC's field experiment provides a valid control group and a credible design for identifying the causal effects of various potential determinants on reporting compliance.

Second, we contribute to the literature on the US Reg CF market, where we provide a detailed analysis of ongoing financial reporting. While existing studies examine financial disclosure in the offering statement, Form C, including voluntary financial reporting [Donovan 2021, Pattanapanyasat 2021], the role of assurance [Bogdani *et al.* 2022, Gong *et al.* 2022], and the contents of financial disclosure [Aland 2023], there has been limited consideration of the role of

[2]The closest study to ours in this dimension is Alford *et al.* [1994], who find that 20 percent of Form 10-Ks are not filed timely, which they attribute to the firm's size and performance. However, they are unable to causally examine what motivates reporting compliance.

annual reporting after the close of an offering.[3] We document that investors use these annual reports and that non-compliance is widespread.

Third, we contribute to the burgeoning literature on regulatory nudges. The bulk of this literature relates to randomizing interventions meant to encourage tax compliance [e.g., Bergolo *et al.* 2023, Kleven *et al.* 2011, Perez-Truglia and Troiano 2018, Slemrod *et al.* 2001], with most research finding that raising the salience of regulatory risk in the form of audits is effective, while messages of moral suasion are less effective [e.g., Castro and Scartascini 2015, Fellner *et al.* 2013, Slemrod *et al.* 2001]. We extend this literature to a financial market, where evidence on the effectiveness of nudging is rare [Cai 2020] and randomized field evidence even rarer [Floyd and List 2016], making our findings more directly relevant to regulators. Within accounting, the most closely related field experiment is Belnap [2023], who estimates the effect of non-governmental organization and media coverage on compliance with a UK requirement that large firms disclose their tax strategies [also see Dyreng *et al.* 2016]. We complement this evidence by studying whether messages emphasizing regulatory risk and economic benefits influence managers' compliance with a financial reporting mandate.

Beyond our contributions to the academic literature, our findings may inform securities market regulators, including the SEC and FINRA. Most directly, we show that an email emphasizing regulatory risk increases reporting compliance, suggesting a low-cost tool that regulators could consider [Cai 2020]. More broadly, our findings of the marginal effect of regulatory risk, the low compliance rate in the absence of enforcement, and the relatively weak response to alternative incentives suggest that perceived regulatory risk remains central to ensuring compliance with financial reporting rules. These findings are timely. The SEC is reconsidering enforcement

[3] Schwartz [2025] summarizes this issue of non-compliance in the legal literature, citing a prior legal study by Bullard [2020] as well as a Crowdfund Insider article by Marks [2024].

priorities and reporting requirements [Coffee Jr and Seligman 2024, Fischman *et al.* 2026, Peirce 2025], including a proposal to permit semiannual rather than quarterly reporting for public companies, which weighs compliance costs against investors' information needs [SEC 2026b]. Additionally, the Crowdfunding Professional Association (CfPA) is advocating for reforms to Reg CF financial reporting [CfPA 2025]. Evidence on what motivates managers to comply with reporting mandates adds to both discussions.

II. INSTITUTIONAL SETTING

The adoption of Reg CF in May 2016 marked the inception of the US equity crowdfunding (ECF) market, providing entrepreneurs the regulatory framework to issue unregistered securities to accredited and non-accredited investors via an online platform without the costly and onerous initial public offering (IPO) process. Since its inception, Reg CF has become a popular method for start-ups to raise capital, accounting for nearly $2 billion raised through over 8,000 offerings. Financial disclosure is particularly important in this setting because these companies are mostly privately held, possess limited operating history, receive little media or analyst attention, and primarily attract retail investors. In many cases, the sole source of ongoing financial information is the firm's annual report.[4]

Unlike registered issuers who must file quarterly (Form 10-Q) and annual (Form 10-K) financial reports, Reg CF issuers need only file an annual financial report via Form C-AR, which requires substantially fewer disclosures and no CPA audit or review. If Reg CF securities are outstanding, issuers must file Form C-AR on EDGAR within 120 days of their fiscal year end.[5]

[4] By contrast, registered firms have a relatively rich information environment, including nearly universal annual reporting compliance, years of operating history [Siev and Qadan 2022], higher levels of media/analyst attention [Bonsall IV *et al.* 2020], and significant participation by institutional investors [Abramova *et al.* 2020].

[5] If a Reg CF offering is open as of the reporting deadline and the related financial statements are not already available in the offering documents, the issuer is required to file an amendment via Form C/A with the associated financial statements on EDGAR. This requirement applies regardless of whether the issuer has filed a Form C-AR and, depending on the offering's size, may carry a review or audit requirement that Form C-AR does not.

Since approximately 90 percent of Reg CF issuers use a December 31st year end, Form C-AR is typically due by the end of April or beginning of May. Alternatively, if an issuer meets one of five termination criteria, including going out of business, it may file Form C-TR to terminate its reporting obligation.[6] Filing Form C-TR satisfies the obligation for that year; thereafter the issuer faces no further compliance decision. Given these relatively simplified disclosure rules, to minimize measurement error, we define compliance using a binary measure: filing Form C-AR (or Form C-TR) by the deadline, regardless of the report's contents.[7]

Issuers that fail to comply with their ongoing disclosure requirement are in violation of Reg CF and subject to SEC penalties. While out of compliance, issuers are prohibited from issuing further securities and, in certain circumstances, may face a serious Section 5 violation. This would open them to significant liability for issuing securities without registration or an exemption.[8]

Importantly, issuers acknowledge their annual reporting obligation before launching an offering. Under Rule 201(w), every offering statement must disclose where the first annual report will be posted on the issuer's website and the date by which it will be available. Form C has a dedicated section for this disclosure. Therefore, every issuer in our sample signed and filed a document specifying the deadline for its first annual report before a single dollar was raised.

[6] Under Rule 202(b), an issuer may terminate its reporting obligation if it 1) becomes subject to Exchange Act reporting, 2) has filed at least one annual report since its most recent offering and has fewer than 300 holders of record, 3) has filed annual reports for at least the three most recent years and has total assets of no more than $10 million, 4) repurchases all securities issued under Reg CF, or 5) liquidates or dissolves. Because criteria 2 and 3 require prior annual reports, only criteria 1, 4, and 5 can apply at an issuer's first reporting deadline.

[7] As an even weaker measure of compliance, we also consider whether issuers file a Form C or C/A containing financial information, even though these filings are meant to be used to open and amend an offering and do not comply with the annual reporting mandate in effect after an offering is closed.

[8] An issuer loses its safe harbor from Section 5 if it knowingly violates its ongoing disclosure obligation or its assets/shareholders surpass Rule 12(g) thresholds. Subject to continued qualification of the safe harbor, issuers can "catch up" with their reporting obligation by filing after the deadline, thereby regaining the ability to rely on Reg CF for future securities offerings. However, tardy filers may still face an enforcement action by the Commission for their time out of compliance. That said, we are unaware of any such enforcement actions relating to ongoing reporting compliance violations after an issuer has "caught up" with tardy filings.

In terms of preparation, issuers may complete Form C-AR independently or enlist a third party. Some platforms, including Wefunder and StartEngine, offer preparation services ranging in price from $500 to $1,000, reflecting the relatively simple Form C-AR requirement. Other firms also specialize in filing SEC forms for small companies. One example is raisepapers, owned by KC, which charges a preparation fee ranging from $375 to $975. KC is the leading subscription-based analyst service covering US ECF offerings [Burke and Fisher 2026]. Motivated to improve the publicly available financial data used in its analysis and to market its raisepapers service, KC implemented a randomized email intervention to encourage Reg CF issuers to file Form C-AR. We discuss this field experiment in Section VII.

III. DETERMINANTS OF COMPLIANCE

While many papers study the *effects* of mandatory financial reporting and disclosure, to our knowledge none examine *why* managers comply with such mandates in the US.[9] Such a gap in the literature likely stems from historically high levels of enforcement resulting in nearly universal compliance, which eliminates the variation necessary to examine managerial incentives. Although studies examine the importance of financial reporting enforcement [e.g., Christensen *et al.* 2013], few consider non-enforcement motives in a mandatory regime. Additionally, while the voluntary disclosure literature identifies reasons managers choose to disclose information, including the cost of capital, proprietary costs, litigation costs, preparation costs, etc. [see Healy and Palepu 2001], it is unclear if and to what extent these reasons apply in a mandatory setting. Therefore, it remains

[9] While there exist papers that study imperfect disclosure compliance to SEC mandates, none to our knowledge consider the decision to completely forgo ongoing financial disclosure or have settings with low enough enforcement to credibly test other compliance incentives. For example, Alford *et al.* [1994] document the correlates of tardy Form 10-K filings and Bartov and Konchitchki [2017] study the market response to firms announcing they will file Form 10-K or 10-Q late, not the decision of whether or not to file. Schwartz and Soo [1996] and Ettredge *et al.* [2011] study compliance with a Form 8-K disclosure triggered by the change of an external auditor, not an annual report. Peters and Romi [2013] study the inclusion of mandated environmental disclosures while Alexander *et al.* [2011] study incomplete compliance with FIN 48 disclosures, not the existence of a financial report.

an empirical question whether and why managers comply with a financial reporting mandate in the absence of extensive enforcement.

We consider four factors that may explain compliance (regulatory risk, economic benefit, monitoring, and disclosure costs), drawing on both theoretical reasons and empirical evidence from other mandatory and voluntary disclosure contexts. We organize these factors within a standard cost–benefit view of compliance: a manager files when the expected benefits of doing so exceed the expected costs [Allingham and Sandmo 1972, Becker 1968].

$$p \cdot S + B > C$$

where p is the probability of regulatory sanction, S is its magnitude, B is the economic benefit of compliance, and C is the disclosure cost, all as perceived by the manager; monitoring affects the likelihood and salience of the first two terms. Because these are perceptions rather than objective values, behavior may respond to changes in their salience even when the underlying incentives themselves are unchanged [Chetty *et al.* 2009, Hirshleifer and Teoh 2003, Thaler 1985]. Our study's question of what sustains compliance despite negligible expected sanction ($p \cdot S$) parallels the under-sheltering puzzle in taxation, where firms shelter less than low expected penalties would predict [Gallemore *et al.* 2014].

Regulatory risk

Actual or perceived regulatory risk, stemming from enforcement or litigation, may bolster compliance. Non-compliance with an SEC-mandated disclosure rule is a clear violation of securities law, and given the importance of reporting enforcement [see Leuz and Wysocki 2016], managers may view any such violation as carrying sufficient risk to justify compliance.

On the other hand, there are no known SEC enforcement investigations of Reg CF ongoing financial reporting and the SEC staff does not monitor incoming Reg CF filings. Therefore, if

managers update their beliefs based on the absence of SEC or shareholder actions, they may perceive regulatory risk as sufficiently low as to not warrant compliance [Coffee Jr 2007]. Further, entrepreneurs' higher propensity for risk-taking may dampen the effect of regulatory risk on compliance [Stewart Jr *et al.* 1999]. These opposing forces are what make Reg CF a good laboratory: regulatory risk exists in law but is weak enough in practice that other incentives remain operative.

Economic benefit

If investors demand financial information in the ECF market [Donovan 2021, Polzin *et al.* 2018], value compliance for its own sake, or view non-compliance as a signal of poor quality, non-compliance may increase an issuer's cost of capital to the point of being unable to attract investment [Botosan 1997, Botosan 2006, Diamond and Verrecchia 1991]. Additionally, a violation of Reg CF reporting rules limits an issuer's ability to offer future securities, potentially incentivizing compliance if managers anticipate issuing securities in the future [SEC 2015].

However, managers may not believe there is a meaningful economic benefit to compliance. Given the opacity of this market combined with the difficulty of assessing investment returns for start-ups, which are often loss-making, investors may not demand ongoing financial reporting [Hayn 1995]. Investors may prefer managers focus on the business rather than compliance or, being largely retail, may be unaware of the mandate or less likely to process financial information [Blankespoor *et al.* 2020, Lawrence 2013]. In either case, managers may lack an economic incentive to file.

Monitoring

Monitors may include platforms hosting the offering [Cumming *et al.* 2019], auditors reviewing the financials [Bogdani *et al.* 2022, Burke *et al.* 2025, Gong *et al.* 2022], and analysts

providing information intermediation [Burke and Fisher 2026]. Platforms, screened by FINRA, may ensure compliance of their hosted issuers; auditors may remind clients of deadlines to preserve their client base or limit liability; and analysts may request compliance or penalize its absence in their recommendations.

Alternatively, these actors may play a limited monitoring role. Platforms and FINRA appear most concerned with monitoring during an offering, with little oversight after securities are sold. Indeed, none of the (few) FINRA actions against platforms have been related to ongoing reporting. Auditors also have less incentive to monitor because Form C-AR does not require attestation, and KC's analyst products are primarily tailored to investors' initial investment decisions.

Disclosure costs

Disclosure costs include preparing and posting Form C-AR. The SEC crafted these requirements to be less burdensome than Form 10-K reporting, and third-party services complete Form C-AR at fees between $375 and $1,000, without CPA attestation, implying that disclosure costs are low.

However, given the small size and limited resources of Reg CF issuers, these seemingly low costs may be material [Allee and Yohn 2009]. Reg CF issuers may also face proprietary costs of disclosure [Berger and Hann 2007]. Bernard [2016] finds that such costs deter compliance with an unenforced filing requirement among German private firms, and Burke and League [2026] find that issuers are willing to close their offerings early to avoid filing financial statements during an offering.

Whether Reg CF issuers comply, and the relative importance of each determinant, is an empirical question that our archival and experimental analyses evaluate in turn.

IV. DATA AND SAMPLE SELECTION

Our data come from four sources. First, we obtain SEC filing data from the SEC's Crowdfunding Offerings Data Sets, which include details from all Form C submissions, including amendments, withdrawals, updates, termination of annual reporting, and, most importantly, annual reports. We use these data to determine the incidence of ongoing reporting compliance. Second, we download all Form C filings, which we use to identify the fiscal year end for each issuer.[10] Third, we obtain data on Reg CF offerings from KC, which include offering-, entrepreneur-, and issuer-level variables.[11] Fourth, to investigate investor use of Form C-ARs, we use daily EDGAR log files obtained from the SEC.

Figure 1 outlines the sample used in our analysis. Starting with all Reg CF offerings followed by KC, we exclude those that do not link to a Form C filing, were withdrawn, or did not successfully close, as these offerings do not face an ongoing reporting requirement. For our archival analysis, to avoid the impact of the randomized intervention, we further exclude offerings whose first Form C-AR reporting deadline was after May 1, 2023. Accordingly, our archival sample represents offerings that faced a reporting mandate prior to the randomized intervention in 2024, resulting in 3,918 offerings from 3,335 unique issuers.

[10] We convert all filings to text and then use a script to identify all dates across all filing documents. We assign the year end based on the highest frequency of dates that appear to be the fiscal year end, which are determined based on proximity to key words or phrases and being the end of a month.

[11] SEC filings, the SEC's Crowdfunding Offerings Data Sets, and EDGAR log files are publicly available. KC data are proprietary and were provided by KC. Our data licensing agreement with KC permits publication of research findings, restricts public release of the raw data, and gives KC no right to review or approve our research. KC's data have near-universal coverage of Reg CF offerings.

To analyze the impact of the randomized KC intervention, we limit our sample to offerings that faced a reporting deadline on April 29, 2024.[12] We further restrict the analysis to the 2,280 issuers of 2,897 offerings that KC successfully emailed as part of its marketing campaign.

V. STATE OF ANNUAL FINANCIAL REPORTING COMPLIANCE

In this section, we assess the level of compliance with Reg CF reporting requirements. We define compliance based on whether a financial disclosure is filed, the form used, and its timeliness. We do not assess the substance of the report or the correct application of accounting standards, so our compliance rates are upper bounds and require no subjective judgment. When calculating compliance rates, we limit our sample to offering-years with an active reporting obligation by excluding offering-years following the filing of Form C-TR, which terminates the reporting obligation. An issuer that goes out of business and files Form C-TR is counted as compliant that year and drops out thereafter, so our rates are not mechanically depressed by properly reported exits. As a result, these rates reflect, as closely as possible, the issuers who still face a reporting obligation and therefore a compliance decision.[13]

We begin by documenting the low rates of compliance. Then, we show that low compliance is difficult to attribute to a lack of awareness among managers or a lack of demand from investors.

Rate of compliance

Table 1 reports summary statistics for various measures of ongoing disclosure compliance. We begin with the first fiscal year in which the manager faces a reporting obligation.[14] For each of the

[12] This sample selection step begins with the sample of 5,877 offerings as documented in Figure 1. An offering can be in the archival sample but not the experimental sample if its reporting obligation was terminated between May 1, 2023 and April 1, 2024. Conversely, an offering can be in the experimental sample but not the archival sample if its first reporting obligation was for fiscal year 2023.

[13] Form C-TR provides a clean, observable endpoint for the reporting obligation, since data on firm closure are incomplete and noisy. Importantly, issuers remain subject to the reporting mandate until Form C-TR is filed, even if business operations have ceased. Form C-TR is a simple filing that requires issuers to indicate the basis for terminating their reporting obligation and does not require the preparation of annual financial statements.

[14] We focus on the first year to include as many offerings as possible and reduce the impact of survival bias.

3,918 offerings in our sample, we report whether a Form C-AR or C-TR is filed no more than five days after the associated reporting deadline (Filed Timely). Despite the mandate, we find that only 27.7 percent of offerings satisfy this measure of compliance. To assess whether managers file the necessary forms but fail to do so timely, we examine whether the first year's Form C-AR or C-TR was ever filed, including late filings (Filed C-AR).[15] We find that only 47.2 (an additional 19.5) percent of offerings satisfy this more lenient measure. Finally, we consider Form C and Form C/A filings by the same issuer that indicate financial information and are filed by the reporting deadline, even if they relate to a different offering.[16] Note that this more lenient measure does not technically satisfy the mandate and may not contain the required financial information. Only 47.9 (an additional 0.7) percent of offerings satisfy this even more inclusive measure (Filed Anything).

Although the reporting deadline is 120 days after the fiscal year end, the average reporting lag for first-year Form C-AR filers is 157 days, over a month after the deadline. This average masks significant heterogeneity. Figure 2 reports a histogram of this reporting lag. Many filings cluster around the 120-day deadline, with 667 of the 1,825 offerings filing in the prior 10 days. However, there is a long right tail, with 15.5 percent of filings occurring over 180 days after the fiscal year end and 5.5 percent of filings taking over a year.

While our primary measures of compliance focus on the first Form C-AR reporting deadline after an offering, Table 1 also reports measures of compliance relating to subsequent reporting deadlines. As discussed in Section II, firms are required to file an annual report every year after the offering until they terminate their reporting obligation. Following this definition, on average,

[15] Our data are limited to all EDGAR filings through July 1, 2024. Therefore, tardy filings after this date are not captured in our analysis.

[16] We infer the fiscal year end related to Form C and Form C/A using the timing of when they are filed. Specifically, we only consider Form C filings posted 90 to 125 days following the related fiscal year end and Form C/A filings posted 30 to 125 days following the related fiscal year end. Further, the description of the amendment, per the SEC structured data, must include a keyword indicating the inclusion of financial information.

offerings in our sample have had 3.35 years with a reporting requirement. The average share of years with a reporting requirement that an offering files Form C-AR or C-TR in a timely manner is only 25.4 percent, with similarly low shares of years satisfying our more lenient measures of compliance. This share is lower than first-year compliance (27.7 percent), suggesting attention to the mandate may deteriorate after the offering.

To capture offerings that are ever compliant with their annual reporting obligation, we consider whether they ever filed an annual report for any fiscal year. We find that only 43.4 percent of offerings ever timely file either Form C-AR or C-TR. Therefore, fewer than half of issuers are *ever* in compliance with their annual reporting obligation for any fiscal year. Similarly, only 57.0 percent ever file a Form C-AR or C-TR, including untimely filings, and only 57.5 percent ever file anything resembling financials. In short, financial reporting compliance is low across every measure.

Manager awareness of the reporting obligation

One potential explanation for low financial reporting compliance is that managers are simply unaware of their reporting obligation. Before turning to observed behaviors, we note that, as described in Section II, every issuer discloses the deadline for its first annual report in the offering statement it signs and files, an institutional feature that distinguishes this setting from small private firms elsewhere, whose managers are often unaware of their statutory filing options [Gassen and Muhn 2025]. We supplement this documentary evidence with two strategic behaviors indicating the requirement is salient, even among non-compliant issuers: strategic tardy disclosure filing and strategic offering closure timing.

To evaluate whether managers strategically file Form C-AR after they have fallen out of compliance, we investigate whether subsequent offerings explain tardy filings. We find that issuers

frequently file their first required Form C-AR concurrent with a subsequent offering (when they post their next Form C). This pattern suggests an awareness of the reporting mandate despite non-compliance. Within the sample of offerings that are followed by a subsequent offering and whose first-year Form C-AR is filed, Figure 3 plots the days from the issuer's first fiscal year end following an offering to the filing date of its next Form C against the annual reporting lag. As shown in Figure 2, many filings fall around the 120-day deadline (indicated by the vertical red line) regardless of subsequent offering timing. However, we see that first-year filings commonly occur around the time of subsequent offerings, as indicated by the density of points along the 45-degree line. This line denotes the point where the reporting lag equals the time to the next offering. Points just above and to the left of the line represent issuers that file Form C-AR just before filing Form C for a subsequent offering. Specifically, Form C-AR is filed within 10 days preceding a subsequent Form C for 12.9 percent of offerings, or 32.1 percent of those that file a tardy Form C-AR. In short, issuers frequently "catch up" in advance of a subsequent offering, suggesting managers are aware of their reporting obligation but often prioritize compliance when it facilitates future capital raises.[17]

Relatedly, patterns in offering closures indicate managers are aware of their reporting obligation even before closing their offering, minimizing concerns that low compliance reflects low awareness rather than an active decision. In a concurrent working paper, Burke and League [2026] find a clear drop-off in offerings in May, driven by closures in April, immediately preceding the annual reporting deadline. This pattern is consistent with managers strategically closing offerings to avoid amending their offering statement via Form C/A with updated financial statements, which would be required if the offering remained open, indicating awareness of the

[17] This catch-up may also reflect platforms screening issuers before hosting a new offering, itself a form of the monitoring discussed in Section III.

reporting deadline tied to the fiscal year end.[18] Taken together, management's active acknowledgment of the mandate in its offering statement combined with the observed timing of Form C-AR filings and offering closures indicates that non-compliance is generally an active decision rather than a consequence of never having encountered the requirement. Critically, our experimental estimates do not rest on this interpretation, since every issuer in that sample receives an email describing the requirement.

Demand from investors

Another potential explanation for low compliance is a lack of investor demand for accounting information [Cade *et al.* 2023]. If investor demand is negligible, the economic benefit of compliance would be low. To evaluate investor demand, we use EDGAR log files to examine whether investors access Form C-AR.

First, we show that traffic to Form C-AR makes up a meaningful share of the traffic to financial information available on EDGAR, and that the timing of this traffic is consistent with investors demanding timely information. Figure 4 Panel A shows the weekly share of EDGAR traffic attributable to Form C-AR. Overall, visits to Form C-AR account for 9.8 percent of EDGAR traffic associated with Reg CF issuers, with traffic increasing dramatically at the annual reporting deadline. For example, in the week of the 2022 reporting deadline, traffic to Form C-AR represented over 60 percent of EDGAR traffic among Reg CF issuers. The coincidence of traffic to Form C-AR with the reporting deadline suggests that investors seek timely financial information for outstanding securities, regardless of the timing of a securities offering.

[18] This strategic closure may be partially explained by the incorrect belief that issuers closing in April can skip their first year of Form C-AR reporting. However, only 14 percent of offerings that close in April skip their first year of Form C-AR filings before ever filing subsequent-year financials, suggesting that this confusion contributes little to closures. Closures may instead reflect issuers that already expect to skip ongoing reporting and close to avoid the scrutiny an open offering draws from investors, platforms, and regulators, since incentives to report are weaker once an offering closes (see Section III). Either way, these closures indicate awareness of the reporting deadline.

Next, we show that Form C-AR traffic is also associated with potential investors accessing information to inform new investment decisions. To test this, we investigate how traffic to existing (already posted) reports responds when an issuer launches a new offering. Limiting the sample of Form C-ARs to those from issuers that subsequently open another offering, we estimate the following regression,

$$Y_{it} = \sum_{e \in [-8,7] \setminus \{-1\}} \beta_e WeeksToTreat_{it}(e) + \gamma_t + \gamma_i + \delta_{it} + \varepsilon_{it} \qquad (1)$$

where Y_{it} is traffic to Form C-AR i in week t, $WeeksToTreat_{it}(e)$ is an indicator for being e weeks from the opening of a subsequent offering, γ_t and γ_i are week and Form C-AR fixed effects, and δ_{it} is a fixed effect for the number of weeks from the posting of the report to week t. Standard errors are clustered by Form C-AR. The coefficients of interest are the set of β_e, which give the differential change in traffic to existing Form C-ARs when a subsequent offering is opened.

Figure 4 Panel B reports estimates of β_e. We see that traffic to Form C-AR spikes when an issuer launches an offering. In the first week, traffic to existing Form C-ARs from that issuer increases by 50 percent (0.4 log points) relative to the week before. This effect decreases over the following four weeks. Investors thus access Form C-ARs in substantial numbers when new investment opportunities arise. We would expect traffic to rise during an offering, when the security can actually be purchased, so we treat this as complementary to the deadline pattern in Panel A, which occurs when no purchase is possible and speaks more directly to demand for ongoing reporting from existing investors.

VI. CORRELATES OF COMPLIANCE

Having documented substantial variation in compliance across issuers, despite a common mandate, we turn to our rich set of archival data to understand why some managers comply while

others do not. We begin by considering offering, issuer, and manager characteristics that predict subsequent reporting compliance. This analysis is descriptive and correlational. Our aim is to document how much of the compliance decision observable characteristics can explain, and their relative importance, before turning to our experimental findings. Because our data contain roughly one thousand characteristics, reporting each individually would obscure this objective. We therefore use principal component analysis to reduce our data to nine factors relating to three (of the four) potential motivators of compliance discussed in Section III. First, we consider the economic benefit of reporting [Verrecchia 1983], including factors for investor demand, likelihood of good news, proprietary costs, and the status of the founder as a member of an underrepresented group [Fairlie *et al.* 2022]. Second, we construct a factor for monitoring, including proxies for exposure to external monitors such as platforms, auditors, analysts, or advisors. Third, we consider disclosure costs, including factors for the issuer's resources, prior Reg CF experience, manager experience, and preparatory costs. These principal components are normalized to have a mean of zero and a standard deviation of one so that the coefficients can be directly compared to one another.

Table 2 reports correlations between these determinants and our three measures of first-year compliance. The hypothesized determinants are generally positively correlated with compliance, most consistently those related to low disclosure cost: correlations range from 0.096 to 0.115 for firm resources (e.g., assets, sales, firm maturity) and from 0.069 to 0.074 for prior Reg CF experience (e.g., prior offerings, filing amendments, prior offering success), although managerial experience and low preparatory cost are negatively correlated with Filed C-AR and Filed Anything (about -0.08 to -0.10). Evidence on monitoring and economic benefits is mixed, though monitoring, investor demand, and good news are positively correlated with timely filing,

our strictest measure. Importantly, these correlations are weak, and the determinants are highly correlated with one another, with inter-factor correlations ranging from 0.36 to 0.96.

Table 3 presents all determinants in the same regression. When controlling for other determinants, economic benefits and monitoring are reliably associated with compliance, while disclosure cost measures are mixed. When considering the specific factors underpinning potential economic benefits, we show that compliance increases most strongly with the likelihood the firm has good news [e.g., Beck 2018, Ettredge *et al.* 2011], but decreases as proprietary costs (e.g., patents, competition) decrease and for underrepresented founders (e.g., race, sexual orientation). While existing literature suggests firms with low proprietary costs would be more likely to disclose [e.g., Bernard 2016, Ellis *et al.* 2012] and minority founders may disclose to overcome other barriers to investment capital [e.g., Fairlie *et al.* 2022], we find no evidence in our context that this is the case. Instead, these factors may be capturing disclosure costs (e.g., firm resources). This conjecture is consistent with the effect of firm resources attenuating in the multivariate regression, suggesting a shared latent variable.[19]

Importantly, the explanatory power of our determinant model is low, with R^2 ranging from 3.69 to 7.39 percent, suggesting compliance is difficult to predict using archival data *ex ante.* To ensure this is not an artifact of our design decisions, we apply various machine learning techniques to roughly one thousand offering characteristics; the highest cross-validated R^2 we achieve is 13.0 percent using a probit LASSO model. Therefore, given the somewhat inconsistent univariate and multivariate results, coupled with low explanatory power across estimation techniques, we conclude that although the theoretical factors from Section III appear relevant, archival data are insufficient to predict compliance *ex ante*.

[19] While the literature informed our *ex ante* categorizing, these are merely labels. Our results show that low proprietary costs and minority founder status are negatively correlated with compliance, regardless of the label.

VII. EXPERIMENTAL EVIDENCE OF COMPLIANCE INCENTIVES

Experimental design

To better understand what moves compliance with mandatory reporting requirements and how to increase it, we turn to a field experiment conducted by the leading analyst firm in this market, KC. In April and May 2024, KC sent emails encouraging managers to comply with their annual reporting requirement. Specifically, KC sent emails to managers for whom a functioning email could be found, with email addresses associated with the same manager receiving the same treatment. Emails were sent on April 3, April 17, and May 15, 2024.[20]

Within the experimental sample presented in Figure 1, offerings were randomized to receive email reminders varying three of the four determinants of compliance discussed in Section III. Each email contained language emphasizing one of the following: economic incentives via the potential economic benefit of compliance; regulatory risk via the salience of the mandatory nature of annual reporting; no language regarding either potential incentive; or language emphasizing both incentives. Managers were also offered cross-randomized discounts of five possible amounts ranging from $50 to $400 for Form C-AR filing assistance from raisepapers. Thus, the design is 2-by-2-by-5, with messages randomly differing by whether each of the two types of language is included and the discount amount. Figure 5 displays an example email highlighting the various treatments in this experimental design.

KC increases the perceived economic benefit of compliance by highlighting that compliant companies have more successful subsequent offerings on average. This aligns with findings that firms with greater need for external financing are more likely to comply with mandatory disclosure requirements [Ettredge *et al.* 2011] and the possibility that the benefits of reporting are not as

[20] Following the April 3, 2024 email, KC reviewed EDGAR filings and removed managers who had completed all necessary filings from subsequent reminders.

salient as the costs [Lisowsky and Minnis 2020]. If managers already consider these benefits or do not believe investors are responsive to reporting compliance, we expect they will not respond to this treatment.

KC increases the salience of regulatory risk using language emphasizing the reporting mandate and the potential violation of securities law arising from non-compliance. This language conveys no new information about the probability or severity of enforcement. It cites no enforcement actions and announces no change in regulatory posture. Instead, it restates obligations the issuer previously acknowledged in its offering statement. If managers already understand their obligation or regulatory risk is sufficiently salient, we do not expect them to respond to this treatment.[21]

Further, KC cross-randomized the discounted price offered for raisepapers, which shifts the salience of preparatory costs, one component of the disclosure costs described in Section III. We focus on this component both because it is the one KC can act on commercially, through the sale of its filing service, and because other components, such as proprietary costs, are difficult to manipulate through an email. Because most managers have never priced this task, a posted price provides an anchor [Tversky and Kahneman 1974], and making a cost salient can change behavior even when the cost itself is unchanged [Chetty *et al.* 2009]. Accordingly, the emails lead with the price rather than the discount. Due to this randomized design, differences in subsequent reporting behavior can be causally attributed to the messages received, overcoming the endogeneity of reporting with respect to unobserved offering, issuer, and manager characteristics.[22]

[21] A response reflects the salience of regulatory risk rather than a revision in beliefs about the likelihood of sanction, though we cannot fully rule out what managers infer from a third party raising the subject. Further, in testing the relative importance of these two treatments, we also test the relative effectiveness of prescriptive/injunctive norms (regulatory risk language) versus descriptive norms (economic benefit language) [Cialdini *et al.* 1990], in the setting of financial reporting compliance.

[22] We provided feedback to KC on the design of its email intervention. We consulted our respective Institutional Review Boards, which concurred that no review was needed for advising KC on an intervention that KC designed, controlled, and implemented.

To estimate the effect of the randomized content, we estimate the following equation:

$$Y_i = \beta_0 + \beta_1 Reg.Risk_i + \beta_2 Econ.Benefit_i + \beta_3 Log_Price_i + \varepsilon_i \qquad (2)$$

where $Reg.Risk_i$ denotes whether the email emphasized the regulatory risks of non-compliance, $Econ.Benefit_i$ denotes whether the message emphasized the economic benefits of compliance, and Log_Price_i denotes the natural logarithm of the discounted price offered, our proxy for the salience of preparatory costs.[23] The outcomes, Y_i, are the three compliance measures defined in Section V, Filed Timely, Filed C-AR, and Filed Anything. Our EDGAR data are truncated at July 1, 2024, two months after the reporting deadline. We also assess the effect of the intervention on the take-up of raisepapers, a service that helps managers fulfill their ongoing reporting obligation. While we estimate the overall treatment effect, we also estimate it week by week to validate that differences between treatment groups emerge post-intervention. We further test for interactions between treatments.

Table 4 presents summary statistics across the four message groups, each containing between 706 and 737 offerings. Using an F-test of equality of all means across the four groups, only one of 18 characteristics differs at the 10 percent level, the probability of filing anything in the prior year (our most lax measure of compliance), consistent with successful randomization.[24]

This experimental design has two features worth emphasizing. First, randomization balances all pre-treatment characteristics across groups, allowing causal inference without control variables. Second, while randomization should balance prior awareness of the obligation, awareness is

[23] This specification imposes a functional form on the price-compliance relationship and omits interaction terms, both of which improve interpretability and statistical power. The 2-by-2-by-5 design yields twenty cells with too few observations in each for reliable inference. However, cross-randomization keeps each treatment independent of the error term, so marginal effects remain causally identified, even without interaction terms.

[24] One rejection among 18 is fewer than the roughly two expected by chance at the 10 percent level, and the imbalance works against our result: the regulatory risk group has the lowest prior-year filing rate (29 percent versus 33 to 36 percent in the other groups).

separately held constant through the treatment itself. Every email, regardless of content, outlines the reporting obligation, so all groups receive the same baseline information. Thus, our estimates require no assumption about manager awareness.

Findings and discussion

KC's reminders reached the intended recipients. Across the three reminders, 72 percent of issuers opened at least one, with 62 percent opening the first reminder alone.[25] These rates are well above typical unsolicited email advertising [Sahni *et al.* 2018].

Table 5 Panel A presents estimates of equation (2). We find that emails emphasizing the regulatory risks of non-compliance significantly increase annual report filings and the take-up of raisepapers. Specifically, offerings treated with $Reg.Risk_i$ are 3.3 percentage points more likely to file a timely annual report, representing approximately a 20 percent increase relative to the baseline rate of 16.9 percent among the control group that received emails without any emphasis added.[26] We observe effects of similar magnitude on our other measures of compliance. Finally, receiving language emphasizing regulatory risk increases the likelihood of using raisepapers by 1.5 percentage points.

To further validate the causal interpretation of this difference, we show the timing of filing an annual report coincides with the email intervention. Figure 6 shows the difference in the share of offerings filing an annual report over time by whether the messages emphasize the regulatory risk of non-compliance. While offerings with regulatory risk language trail slightly before the first reminder, their filing rates overtake those without after the second reminder, and the difference

[25] For emails associated with Apple devices, we are unable to distinguish between automatic email opens and those initiated by the user. Assuming none of the opens on Apple devices are initiated by the user, we find a lower bound on the opening rate of 41 percent for the first email reminder, which remains exceptionally high.

[26] The 16.9 percent control mean is lower than first-year compliance in Table 1 and than these same offerings' prior-year rate in Table 4 because the experimental sample consists of fiscal year 2023 reports for offerings at various stages of their reporting obligation, not just first-year reports, and compliance in that year may simply have been lower. Table 5 Panel B shows that the baseline rate among first-year offerings is 23.2 percent, closer to Table 1.

widens sharply around the reporting deadline and again after the third reminder. Since the preparation of financial statements may take more time for some issuers, the fact that the differences in filing rates coincide with the timing of the randomized treatment further validates that messages emphasizing regulatory risks causally increased the rate of filing.

In contrast to the regulatory risk messages, neither messages emphasizing economic benefits nor discounts lowering preparatory costs increased compliance, on average.[27] Column (1) of Table 5 Panel A rules out an increase in timely filing of more than 1.8 percentage points, or more than 11 percent relative to the baseline rate, at the 95 percent confidence level, a precise null effect.[28] Because this treatment states the potential economic benefits of compliance most directly, this null bounds how much of any treatment response can be attributed to economic benefits.

We also find a null effect of preparatory costs on filing an annual report or using raisepapers. Importantly, since our treatment is the salience of a posted price, a manager who updates beliefs about that cost may file independently or through another provider, so compliance is our main outcome of interest, not raisepapers take-up per se. While greater take-up would benefit KC as the provider offering discounts, it need not be the direct channel through which our treatment operates. Regarding compliance, we can rule out an increase in timely filing larger than 0.08 percentage points for a 1 percent decrease in the cost of raisepapers at the 95 percent confidence level, suggesting that increasing the salience of low preparatory costs does not induce compliance, on average.[29] We find no evidence that larger discounts increase the use of raisepapers on average, ruling out increases larger than 0.006 percentage points for a 1 percent decrease in price at the 95

[27] F-tests of equality of the regulatory risk and economic benefit coefficients reject at the 5 percent level for Filed Timely ($p = 0.034$) and raisepapers take-up ($p < 0.001$) and at the 10 percent level for Filed C-AR ($p = 0.065$) and Filed Anything ($p = 0.098$).
[28] -0.00976 + (0.0142 * 1.96) = 0.0181, 0.0181 / 0.169 = 0.107
[29] -0.0172 - (0.0297 * 1.96) = -0.075

percent confidence level.[30] These precise null effects suggest that while the cost of disclosing financial statements during an active, closely monitored offering may shorten its duration [Burke and League 2026], preparatory costs are not a primary driver of annual reporting compliance.

One remaining concern is that some issuers in the sample may have ceased operations and therefore cannot respond to any message. Because randomization distributes them evenly across groups, this possibility does not bias our estimates, but it would make a true effect harder to detect. Thus, in Panel B, we repeat the analysis for the 509 offerings whose fiscal year 2023 report was their first required annual report. Because these issuers raised capital recently, they are less likely to have ceased operations. The regulatory risk effect is larger in this sample, increasing the rate of timely filing by 8.3 percentage points, or 36 percent relative to the baseline, with the estimate remaining statistically significant at the 10 percent level or better on every measure despite the smaller sample. The economic benefit coefficients remain insignificant.

Given that regulatory risk language increases compliance, we explore whether the other treatments matter conditional on its salience. In Table 6 columns (1)-(4), we find that conditional on receiving the regulatory risk language, the other treatments remain ineffective. By contrast, in columns (5)-(8), conditional on *not* receiving it, lowering preparatory costs (through discounts) induces more filing, albeit without differences in the direct usage of raisepapers. We estimate that a 1 percent decrease in the cost offered led to a 0.08 percentage point increase in the likelihood of compliance, a price elasticity of -0.5 relative to baseline.[31] Consistent with Table 5, this indicates that the annual reporting response to preparatory costs is inelastic,[32] but that issuer perceptions of preparatory costs may still influence compliance when regulatory risk is not salient. Figure 7

[30] 0.00995 - (0.00784 * 1.96) = -0.005
[31] -0.0788 / 0.169 = -0.466
[32] We can rule out demand being unit elastic at the 95 percent confidence level, with the lower bound on this confidence interval being (-0.0788 – (0.0398 * 1.96)) / 0.169 = -0.928.

likewise shows little interaction between regulatory risk and economic benefit messaging. We see that groups receiving regulatory risk language had higher compliance than those without, with little difference by whether economic benefit language was included.

Taken together, the randomized intervention provides four takeaways. First, increasing the salience of regulatory risk increases financial reporting compliance at the margin. Second, messages emphasizing economic benefits do not. Third, when regulatory risk is not salient, increasing the salience of low preparatory costs may increase compliance, but when regulatory risk is salient these costs have no impact. Finally, simple email reminders that emphasize regulatory risk are a low-cost way to increase financial reporting compliance at the margin.[33]

VIII. CONCLUSION

Because regulatory risk is high in most US financial markets, there is little evidence on whether costly enforcement is necessary or whether alternative incentives can motivate compliance with US financial reporting mandates [Coffee Jr 2007]. We study a setting with a clear mandate, but lax enforcement and imperfect compliance, the US Reg CF market, allowing us to observe factors beyond regulatory risk that might explain managers' incentive to comply. Further, we provide some of the first comprehensive evidence on ongoing financial reporting behavior in this emerging capital market.

We find that ongoing reporting compliance among Reg CF issuers is strikingly low, despite evidence that investors access these reports and that managers are aware of the mandate. Specifically, only 28 percent of issuers file Form C-AR by their first reporting deadline and only

[33] Wong *et al.* [2024] randomize the rationale given to Chinese listed firms asked to voluntarily disclose customer and supplier information, and find that appeals to investors' informational needs increase disclosure while appeals to the regulator's preference reduce it. Beyond differences in setting and investor population, we attribute the contrast to what is being asked: they solicit additional disclosure from firms already complying, whereas we ask managers to satisfy a mandate whose violation carries consequences they have already acknowledged.

47 percent ever file their first-year financials, even after the deadline. Further, more than half of issuers never file Form C-AR by the mandated deadline for any reporting year. To understand the drivers of the filing decision, we assess potential correlates, finding that external monitoring, potential economic benefits, and low disclosure costs are associated with compliance, though compliance is difficult to predict using archival data alone.

We therefore exploit a field experiment conducted by KC that identifies causal effects. We find that reminders emphasizing regulatory risk are effective while those emphasizing economic benefits are not, suggesting that the salience of legal obligations remains a key motivator, even in low-enforcement settings. Furthermore, when regulatory risk is not emphasized, the salience of low preparatory costs, one component of disclosure costs, may marginally increase compliance.

We caveat our findings with some limitations and additional context. First, our estimates capture the short-run effect and do not speak to whether compliance persists absent further reminders or changes in enforcement. Awareness of these obligations has also grown since the experiment through industry education, SEC interpretive guidance on Reg CF reporting requirements, and broader policy discussions [CfPA 2026, KingsCrowd 2026, Peirce 2025, SEC 2026a].[34] Second, the same feature that motivates our setting also limits it: we cannot claim with certainty that our estimates generalize to larger, registered issuers, which differ in scale, ownership structure, and enforcement exposure. These firms, however, cannot be studied for this question directly, since enforcement there is stringent enough to eliminate the variation needed to observe other incentives at work. We therefore view our estimates as at least suggestive of how such incentives operate in settings where they cannot otherwise be observed. Third, our intervention was delivered by a private analyst service rather than a regulator, and managers may respond

[34] Some of this attention followed circulation of an earlier version of this paper.

differently to the same message depending on its source. Finally, even under the most effective message, timely compliance remains low, suggesting reminders alone are insufficient to induce the universal compliance observed from high enforcement.

These results have important implications for designing a more effective, and potentially more efficient, regulatory regime. For regulators and monitors, such as the SEC, FINRA, and host platforms, we bring attention to widespread non-compliance with ongoing disclosure mandates, identify its correlates, and provide evidence of a low-cost tool to increase financial reporting, while showing that other incentives have a smaller or undetectable marginal effect. At a time of declining SEC enforcement activity, these results suggest that reforms weakening enforcement or its perceived threat could further undermine compliance [Fischman *et al.* 2026].

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Table 1 – Compliance Summary Statistics

	Mean	Std. Dev.
First Year Compliance		
Filed Timely	0.277	0.448
Filed C-AR	0.472	0.499
Filed Anything	0.479	0.500
Reporting Lag (Days)	156.7	106.1
Years with Reporting Requirement	3.35	1.50
Share of Years Compliant		
Filed Timely	0.254	0.351
Filed C-AR	0.362	0.395
Filed Anything	0.367	0.396
Ever Compliant		
Filed Timely	0.434	0.496
Filed C-AR	0.570	0.495
Filed Anything	0.575	0.494
Observations	3918	

Note: This table presents summary statistics on the levels of compliance with the ongoing reporting requirement. An observation is an offering. First Year Compliance covers the first fiscal year with a reporting requirement. Filed Timely indicates a Form C-AR or C-TR filed no more than 5 days after the deadline, Filed C-AR also includes late filings, and Filed Anything also counts Form C and C/A filings that contain financial information filed near the deadline. Reporting Lag is the number of days from the fiscal year end to the first filing. Share of Years Compliant is the share of years with a reporting requirement that satisfy each measure, and Ever Compliant indicates satisfying it in any year.

Table 2 – Determinants of Annual Reporting Compliance – Univariate

	Compliance			Economic Benefit				Monitoring	Low Disclosure Cost		
	Filed Timely	Filed C-AR	Filed Anything	Investor Demand	Good News	Low Proprietary Cost	Minority Founder	Monitoring	Firm Resources	Reg-CF Experience	Managerial Experience
Compliance											
Filed C-AR	0.655***										
Filed Anything	0.646***	0.987***									
Economic Benefit											
Investor Demand	0.0809***	0.0248	0.0278*								
Good News	0.0863***	0.0129	0.0165	0.893***							
Low Proprietary Cost	-0.00619	-0.115***	-0.111***	0.770***	0.852***						
Minority Founder	-0.0118	-0.111***	-0.109***	0.712***	0.736***	0.803***					
Monitoring											
Monitoring	0.0678***	0.00235	0.00363	0.867***	0.807***	0.792***	0.716***				
Low Disclosure Cost											
Firm Resources	0.115***	0.0960***	0.0972***	0.581***	0.650***	0.420***	0.359***	0.483***			
Reg-CF Experience	0.0739***	0.0688***	0.0725***	0.688***	0.584***	0.463***	0.405***	0.555***	0.484***		
Managerial Experience	0.0194	-0.0817***	-0.0775***	0.802***	0.869***	0.958***	0.743***	0.812***	0.444***	0.503***	
Low Preparatory Cost	0.0168	-0.0981***	-0.0956***	0.558***	0.629***	0.751***	0.543***	0.634***	0.377***	0.378***	0.759***
Observations	3918	3918	3918	3918	3918	3918	3918	3918	3918	3918	3918

Note: This table presents pairwise correlations among three measures of first-year compliance and possible predictors of compliance. Each predictor is the normalized first principal component of various measures of the underlying offering, issuer, or manager characteristic. ***, **, * represent statistical significance at the 1 percent, 5 percent, and 10 percent levels, respectively.

Table 3 – Determinants of Annual Reporting Compliance – Multivariate

	(1) Filed Timely	(2) Filed C-AR	(3) Filed Anything
Economic Benefit			
Investor Demand	-0.0168	-0.0245	-0.0236
	(0.0216)	(0.0235)	(0.0236)
Good News	0.129***	0.155***	0.155***
	(0.0233)	(0.0249)	(0.0249)
Low Proprietary Cost	-0.139***	-0.181***	-0.177***
	(0.0281)	(0.0313)	(0.0314)
Minority Founder	-0.0324**	-0.0698***	-0.0707***
	(0.0128)	(0.0138)	(0.0138)
Monitoring			
Monitoring	0.0512***	0.0840***	0.0798***
	(0.0166)	(0.0180)	(0.0180)
Low Compliance Cost			
Firm Resources	0.0129	0.0193*	0.0188*
	(0.00970)	(0.0110)	(0.0111)
Reg-CF Experience	0.00303	0.0273**	0.0292***
	(0.0103)	(0.0109)	(0.0109)
Managerial Experience	0.00881	0.00321	0.00414
	(0.0290)	(0.0317)	(0.0318)
Low Preparatory Cost	0.0126	-0.0323**	-0.0331***
	(0.0119)	(0.0128)	(0.0128)
Constant	0.277***	0.472***	0.479***
	(0.00703)	(0.00769)	(0.00770)
Dep. Var. Mean	0.277	0.472	0.479
R^2	0.0369	0.0739	0.0727
Observations	3918	3918	3918

Note: This table presents coefficient estimates from regressions of three measures of first-year compliance on possible predictors of compliance. The independent variables are the normalized first principal component of various measures of the underlying offering, issuer, or manager characteristic. Heteroskedasticity-robust standard errors are given in parentheses. ***, **, * represent statistical significance at the 1 percent, 5 percent, and 10 percent levels, respectively.

Table 4 – Randomized Intervention Summary Statistics

	Message Received			
	No Emphasis	Risk	Benefit	Both
Email Addresses	1.75	1.77	1.76	1.81
First Raise	0.78	0.75	0.75	0.74
Amount Raised ($)	409,299	448,552	364,798	435,559
Big 3 Platform	0.69	0.69	0.67	0.70
Sex of Founder				
Male	0.58	0.59	0.59	0.59
Female	0.25	0.25	0.24	0.23
Unknown	0.18	0.16	0.17	0.18
Economic Benefit Z-Score	0.39	0.37	0.38	0.42
Monitoring Z-Score	0.30	0.26	0.27	0.26
Low Compliance Cost Z-Score	0.30	0.34	0.32	0.34
Raise Year	2019.9	2019.9	2019.9	2019.9
Years with Reporting Requirement	1.83	1.84	1.83	1.85
Previous Year Compliance Status				
Filed Timely	0.22	0.21	0.22	0.21
Filed C-AR	0.32	0.28	0.32	0.33
Filed Anything	0.33	0.29	0.34	0.36
Ever Compliant in Past				
Filed Timely	0.34	0.34	0.34	0.32
Filed C-AR	0.53	0.51	0.52	0.53
Filed Anything	0.53	0.52	0.53	0.53
Observations	706	719	735	737

Note: This table presents mean values of offering characteristics by the message language received (no emphasis, regulatory risk, economic benefit, or both). Email Addresses is the number of email addresses associated with the offering to which KC sent messages. The Z-scores are the normalized first principal component of each offering characteristic as estimated in the archival sample. Compliance measures are only defined for offerings that had a reporting requirement prior to the intervention.

Table 5 – Effect of Randomized Intervention

Panel A – Full Sample

	(1) Filed Timely	(2) Filed C-AR	(3) Filed Anything	(4) Used Raisepapers
Regulatory Risk Language	0.0325**	0.0367**	0.0305*	0.0145***
	(0.0142)	(0.0158)	(0.0159)	(0.00380)
Economic Benefit Language	-0.00976	-0.00414	-0.00636	-0.00375
	(0.0142)	(0.0158)	(0.0159)	(0.00383)
Price (log)	-0.0172	-0.0112	-0.00960	0.00995
	(0.0297)	(0.0332)	(0.0334)	(0.00784)
Control Mean	0.169	0.228	0.238	0.00567
Observations	2897	2897	2897	2897

Panel B – First-Year Offerings

	(1) Filed Timely	(2) Filed C-AR	(3) Filed Anything	(4) Used Raisepapers
Regulatory Risk Language	0.0826**	0.0964**	0.0808*	0.0214*
	(0.0388)	(0.0427)	(0.0430)	(0.0110)
Economic Benefit Language	0.00317	0.0495	0.0412	-0.00343
	(0.0384)	(0.0424)	(0.0427)	(0.0102)
Price (log)	0.0267	0.0773	0.0793	0.0407*
	(0.0801)	(0.0888)	(0.0897)	(0.0208)
Control Mean	0.232	0.304	0.328	0
Observations	509	509	509	509

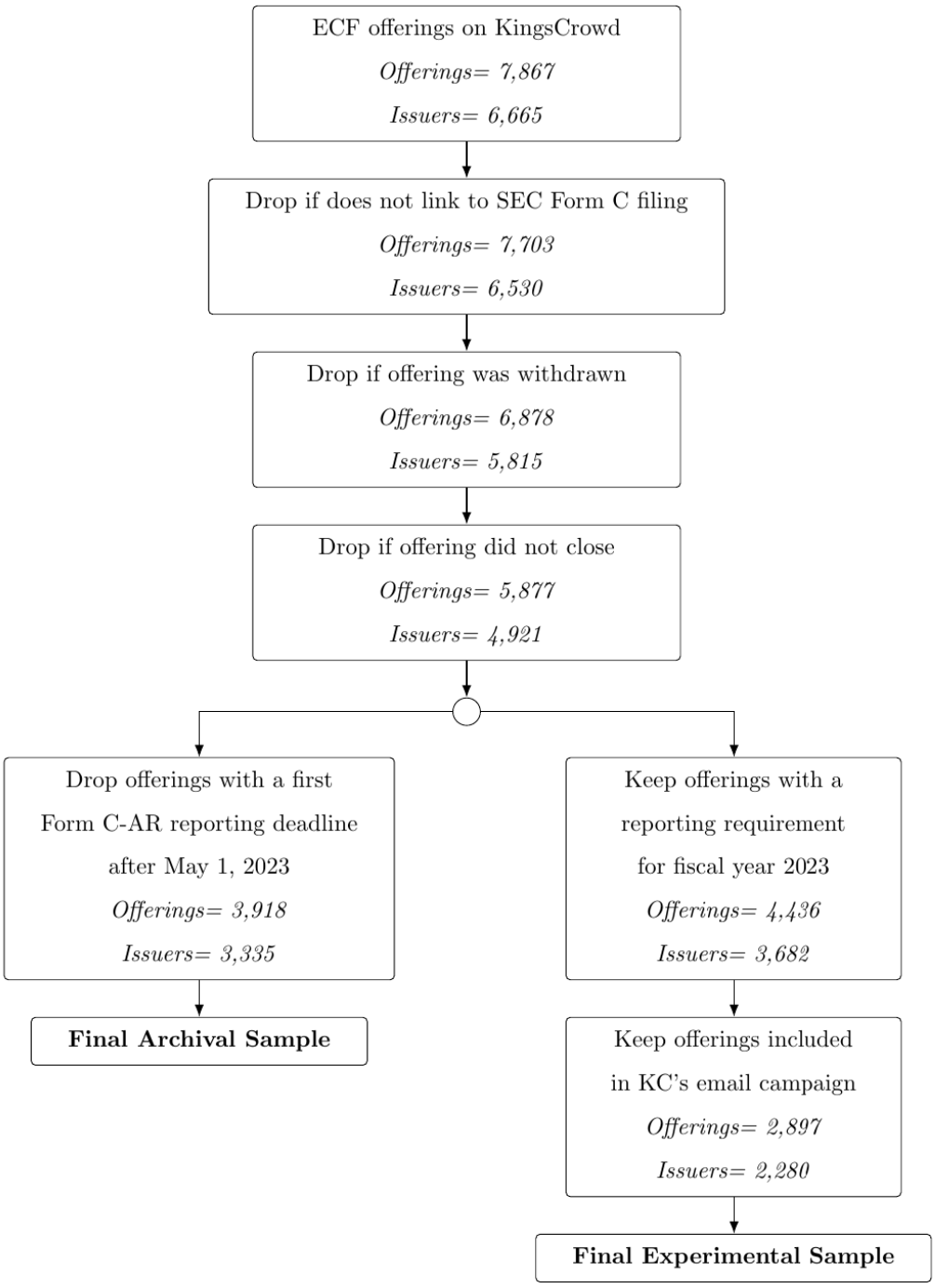
Note: This table presents estimates of equation (2). Panel A uses the full experimental sample. Panel B limits the sample to offerings whose fiscal year 2023 report was their first required annual report. Columns (1) to (3) report the compliance measures defined in Table 1, and column (4) reports take-up of raisepapers. Control Mean is the mean outcome among offerings that received neither type of language. Heteroskedasticity-robust standard errors are given in parentheses. ***, **, * represent statistical significance at the 1 percent, 5 percent, and 10 percent levels, respectively.

Table 6 – Effect of Economic Benefit Language and Price Conditional on Regulatory Risk Language

	Has Regulatory Risk Language				No Regulatory Risk Language			
	(1) Filed Timely	(2) Filed C-AR	(3) Filed Anything	(4) Used Raisepapers	(5) Filed Timely	(6) Filed C-AR	(7) Filed Anything	(8) Used Raisepapers
Economic Benefit Language	-0.00491	0.00723	0.00858	-0.00322	-0.0149	-0.0159	-0.0217	-0.00429
	(0.0207)	(0.0229)	(0.0229)	(0.00695)	(0.0194)	(0.0218)	(0.0221)	(0.00313)
Price (log)	0.0402	0.0528	0.0552	0.0102	-0.0788**	-0.0799*	-0.0793*	0.00967
	(0.0438)	(0.0481)	(0.0482)	(0.0140)	(0.0398)	(0.0455)	(0.0461)	(0.00621)
Reg. Risk Language	1	1	1	1	0	0	0	0
Control Mean	0.196	0.253	0.253	0.0195	0.169	0.228	0.238	0.00567
Observations	1456	1456	1456	1456	1441	1441	1441	1441

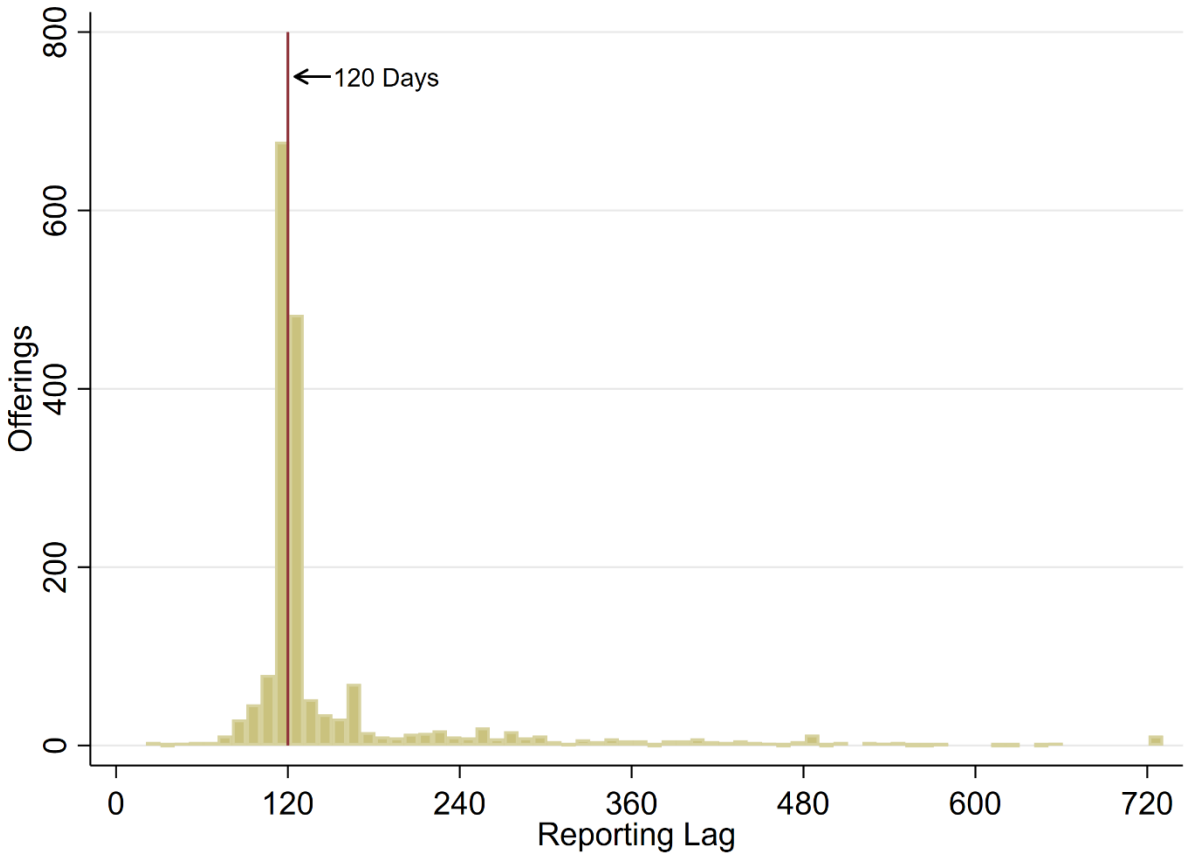
Note: This table presents estimates of equation (2) conditional on the value of $Reg.Risk_i$. Columns (1)-(4) report estimates conditional on $Reg.Risk_i = 1$ and columns (5)-(8) report estimates conditional on $Reg.Risk_i = 0$. Columns (1) to (3) and (5) to (7) report the compliance measures defined in Table 1, and columns (4) and (8) report take-up of raisepapers. Control Mean is the mean outcome among offerings in the subsample that did not receive economic benefit language. Heteroskedasticity-robust standard errors are given in parentheses. ***, **, * represent statistical significance at the 1 percent, 5 percent, and 10 percent levels, respectively.

Figure 1 – Sample Selection



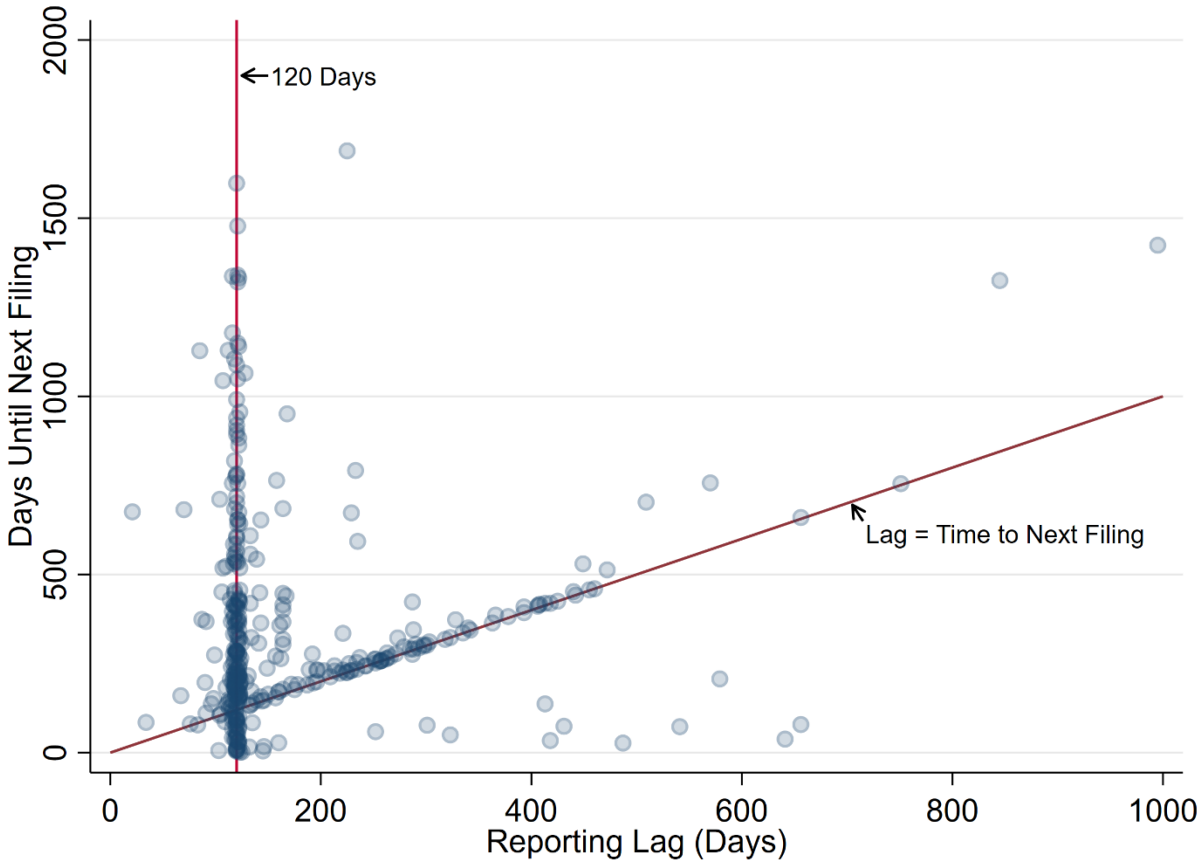
Note: This figure reports the sample selection procedure for our archival and experimental analysis of US Reg CF offerings followed by KingsCrowd (KC). Boxes report the number of offerings and issuers remaining after each step.

Figure 2 – Reporting Lag



Note: This figure displays a histogram of the lag, in days, from the fiscal year end to the filing of Form C-AR in the first year an offering faces an annual reporting requirement. The sample is limited to offerings that filed a Form C-AR. The reporting lag is winsorized at 721 days. The vertical red line denotes the 120-day reporting deadline.

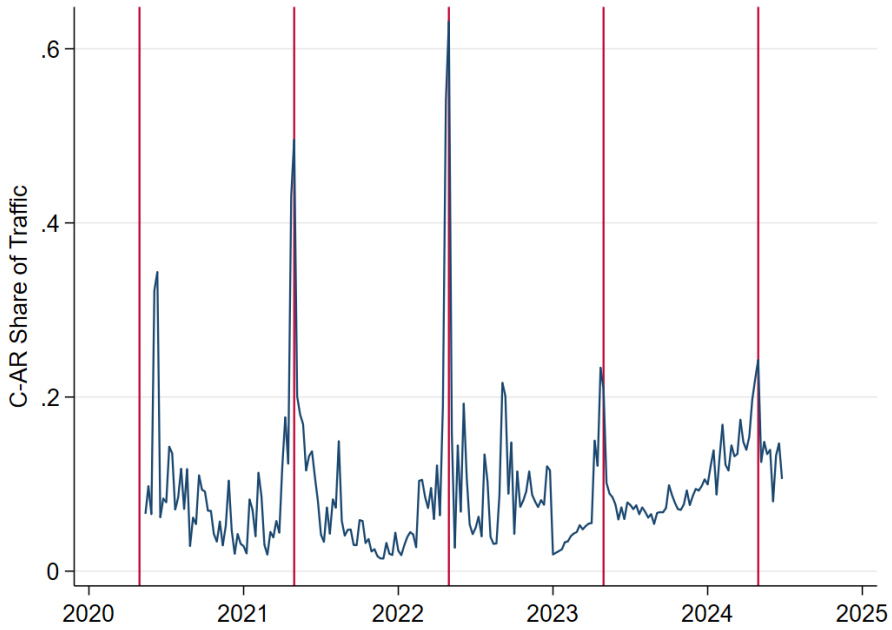
Figure 3 – Reporting Lag and Subsequent Offering Timing



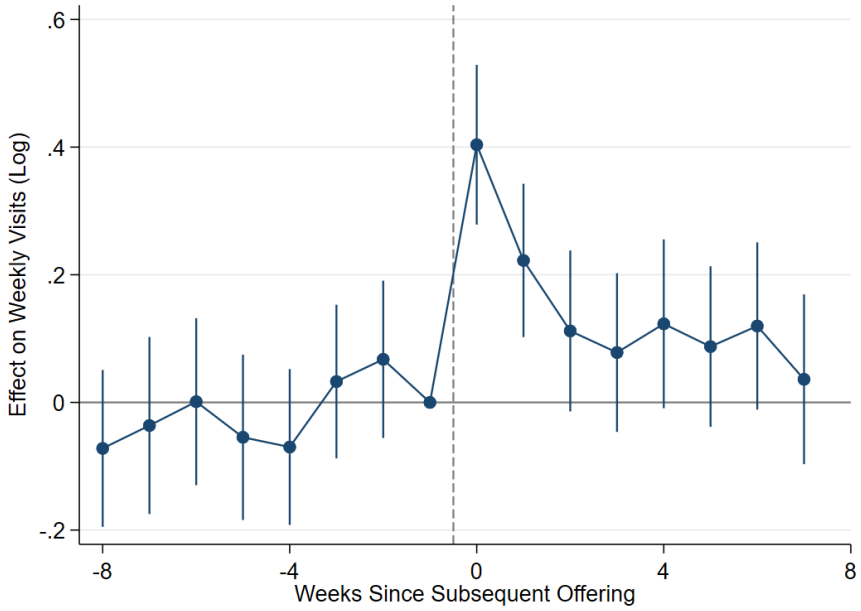
Note: This figure displays a scatterplot of the lag, in days, from the fiscal year end to the filing of the first Form C-AR (horizontal axis) against the lag from the same fiscal year end to the filing of a Form C for a subsequent offering (vertical axis). The sample is limited to offerings for which the first Form C-AR was filed and that have a subsequent offering (via Form C filing). The vertical red line denotes the 120-day reporting deadline. The diagonal red line is a 45-degree line, on which the Form C-AR reporting lag equals the lag to a subsequent Form C filing.

Figure 4 – Investor Use of Form C-AR

Panel A – Use Over Time

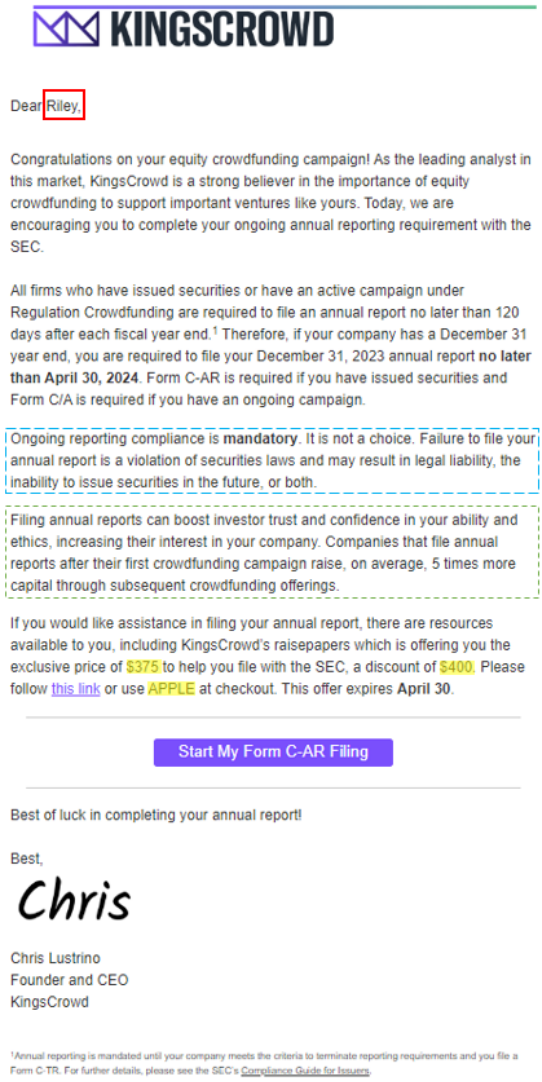


Panel B – Use During an Offering



Note: Panel A reports the weekly share of web traffic to Form C-AR relative to other documents posted by issuers with at least one Reg CF offering, from May 2020 through June 2024. The vertical red lines denote the Form C-AR reporting deadline for firms with a December 31 fiscal year end. Panel B reports estimates of β_e for $e \in [-8,7] \backslash \{-1\}$ from equation (1). The sample is limited to Form C-ARs posted by issuers that open a subsequent offering at least 8 weeks later. Bars show 95% confidence intervals based on standard errors clustered by Form C-AR.

Figure 5 – Example Email



KINGSCROWD

Dear Riley,

Congratulations on your equity crowdfunding campaign! As the leading analyst in this market, KingsCrowd is a strong believer in the importance of equity crowdfunding to support important ventures like yours. Today, we are encouraging you to complete your ongoing annual reporting requirement with the SEC.

All firms who have issued securities or have an active campaign under Regulation Crowdfunding are required to file an annual report no later than 120 days after each fiscal year end.[1] Therefore, if your company has a December 31 year end, you are required to file your December 31, 2023 annual report **no later than April 30, 2024**. Form C-AR is required if you have issued securities and Form C/A is required if you have an ongoing campaign.

Ongoing reporting compliance is **mandatory**. It is not a choice. Failure to file your annual report is a violation of securities laws and may result in legal liability, the inability to issue securities in the future, or both.

Filing annual reports can boost investor trust and confidence in your ability and ethics, increasing their interest in your company. Companies that file annual reports after their first crowdfunding campaign raise, on average, 5 times more capital through subsequent crowdfunding offerings.

If you would like assistance in filing your annual report, there are resources available to you, including KingsCrowd's raisepapers which is offering you the exclusive price of $375 to help you file with the SEC, a discount of $400. Please follow this link or use APPLE at checkout. This offer expires **April 30**.

Start My Form C-AR Filing

Best of luck in completing your annual report!

Best,

Chris

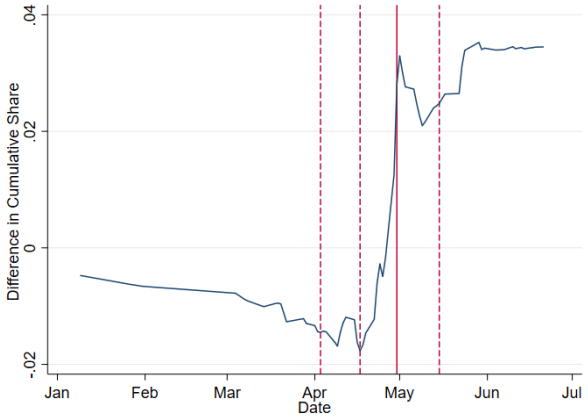
Chris Lustrino
Founder and CEO
KingsCrowd

[1]Annual reporting is mandated until your company meets the criteria to terminate reporting requirements and you file a Form C-TR. For further details, please see the SEC's Compliance Guide for Issuers.

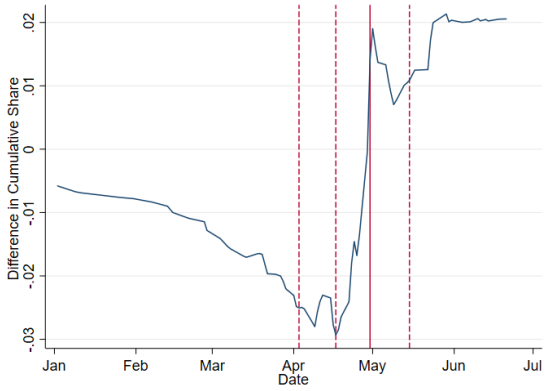
Note: The figure shows an example email from the first wave, sent on April 3, 2024. The red box contains the manager's first name. The blue long-dashed box contains the language emphasizing regulatory risk and the green short-dashed box contains the language emphasizing the economic benefits of compliance. Yellow highlights mark the randomized discount terms offered for filing assistance (price, discount, and code). This example includes both types of language; other emails included one or neither.

Figure 6 – Timing of Filings by Regulatory Risk Language Status

Panel A – Filed Timely

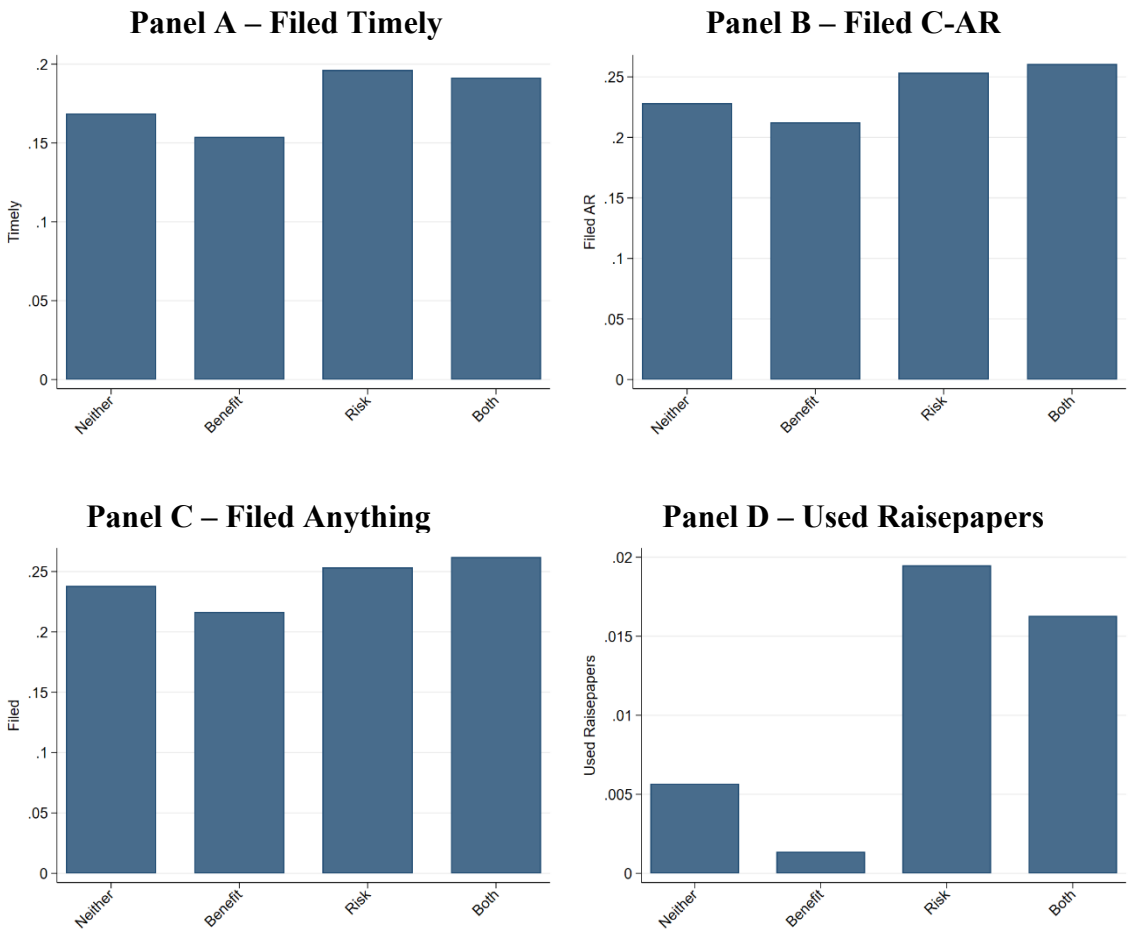


Panel B – Filed Anything



Note: This figure shows, by date in 2024, the difference in the cumulative share of offerings that filed for fiscal year 2023 between offerings that received language emphasizing regulatory risk of non-compliance and those that did not. Panel A reports the difference in the cumulative share that meet the definition of Filed Timely. Panel B reports the difference in cumulative share that meet the definition of Filed Anything. The vertical dashed lines denote the email reminders (April 3, April 17, and May 15). The solid vertical line denotes the filing deadline, April 29, 2024.

Figure 7 – Compliance by Treatment Status



Note: These figures show, for each combination of message language (Neither, Benefit, Risk, and Both), the share of offerings that complied with the reporting mandate under various measures (Panels A to C) and the share that used the raisepapers service (Panel D). Panels A to C report our measures of Filed Timely, Filed C-AR, and Filed Anything as defined in Table 1.